Communication Practices at RBI

As an institution, the Reserve Bank is deeply sensitive to its responsibility to communicate with the public, not just on monetary policy but on the entire range of its broad mandate—financial market developments, external sector management, regulatory issues, printing and distribution of currency and development issues. The Reserve Bank uses a variety of communication tools—governor's post-policy media conferences, interviews with the governor and deputy governors, speeches of the top management, press releases and lately, increasing dissemination through its website. In many respects, the Reserve Bank I inherited was ahead of even its advanced country peers in terms of communication. When Fed Chairman Bernanke held a media conference in 2011, it was reportedly the first in over thirty years, whereas the governor's post-policy media conference has been a regular feature in the Reserve Bank for at least a decade.

Even as the Reserve Bank set best practices in several dimensions of communication, I felt that we were still falling short, especially on two dimensions. First, our communication, except for the media conferences, was largely one way. We spoke but did not listen enough, much less engage in an active conversation. Second, we were not making sufficient effort to reach out to the larger public by communicating at a level and in a language accessible to them. Early on, I resolved that I should put a lot of effort into 'demystifying' the Reserve Bank, a topic I've addressed separately.

Forward Guidance on Monetary Policy

Giving forward guidance on monetary policy was a big, if also challenging, institutional innovation introduced during my time. At the heart of forward guidance is an indication by the central bank of how it would react to the evolving macroeconomic developments so as to shape market expectations and allow market participants to make the necessary adjustments.

In central bank circles, forward guidance on monetary policy has been a contentious issue and indeed remains so. It would figure frequently in the